Good family governance allows a family to work out its problems, meet its challenges, and adapt to changes—without blowing up. And the easiest way to ensure good family governance is to build it around a series of soft structures. Unlike wills, trusts, and tax structures, soft structures aren't legally binding. They are much easier to set up and much less rigid. They should evolve with your family circumstances and help the family to continue to work out its problems together.

Soft structures help families do the following:

- Stay together in relative harmony for generations.
- All individual family members achieve all they can in life.
- Express and enrich the family identity.
- Preserve and grow wealth over generations.

The soft structures we recommend you use are not well known among estate planners. That shouldn't be surprising. There's not much money in soft structure planning. You don't have to be a licensed professional to do it. And setting up soft structures involves working with many family members other than just the patriarch. It can be too much of a hassle for the professionals, in other words.

Estate-planning lawyers tend to use "off-the-shelf" legal structures, in which the soft structures, if there are any, are perfunctory. These pre-prepared structures can be helpful in simplifying otherwise complex issues that concern family wealth. But they do not take into account many of the issues that ultimately determine whether a family will succeed over multiple generations.

This is a real pity because our research shows that families are much better off figuring out the family side of things first. The culture, the soft structures, are actually the most important part of your family wealth plan. You need to keep lines of communication open. Conflicts need to be resolved. Problems need to be solved. Family members need a structure in which they can work together. Taxes and trusts—the hard structures—should be built to house and protect the family's soft tissue. Most people start with the legal structures. And we did, too, at first, because we didn't know any better.

A family we grew up with had been in the boat business for generations. Its core asset, a boatyard on the shores of the Chesapeake Bay, had grown